

ALL THAT GLITTERS

Outstanding Sovereign Gold Bonds: As gold prices have risen over the years, people have continued investing in gold bonds for assured returns

Series	Issue price at ₹ per unit (first and last tranche)	Number of units subscribed (in gm)
2015	2,684	913,571
2016	2,600-2,916	3,989,714
2016-2017	3,119-2,943	11,387,765
2017-2018	2,951-2,881	6,524,691
2018-2019	3,114-3,326	2,030,873
2019-20	3,196-4,260	6,131,169
2020-21	4,639-4,662	32,351,961
2021-22	4,777-5,109	27,035,139
Total	-	90,364,883

SOURCE RBI; AS ON MARCH 17, 2022



the Covid-19 pandemic, which earlier stoked fears of a recession, have started stabilising.

Recently, the dollar index surged due to rising global inflation, and economic and political turmoil. Amidst this, investors ditched gold for the dollar and US bonds, pulling its prices down and making it a good time to buy the yellow metal. It was trading at ₹51,130 per 10 gm on May 31. "Although gold is seen as an inflation hedge, it is vulnerable to rising short-term US interest rates, which enhances the cost of holding zero-yield bullion," says Saish Sandeep Sawant Dessai, Research Associate for base metals at Angel One, a stock broking firm.

"Gold is getting mixed triggers but the bias should be of upside. One must keep it in the portfolio as insurance due to ongoing uncertainty. ETFs (exchange-traded funds) and central bank buying have increased and likely to continue. Any pause in the equity market will give a boost to prices,"

says Vandana Bharti, Assistant Vice President of commodity research at stock brokerage SMC Global.

HOW TO INVEST?

Broadly, there are three ways to invest in digital gold:

Sovereign Gold Bonds: SGBs are government securities denominated in grams of gold, with 1 gm of gold equal to one unit of the bond. These bonds are pegged to spot gold prices, where one pays the issue price of a bond during subscription and it gets redeemed in cash on maturity. What makes SGBs popular is their income element. It offers an interest rate of 2.5 per cent per annum. Hence, if you buy SGBs worth ₹1 lakh, you will receive interest of around ₹2,500 every year. Then, at the time of maturity, an amount equal to the gold's value at market prices is also returned to you. The important point

to note here is that while gold prices may vary at the time of maturity, the units of gold that you hold remain the same.

The issue price of an SGB is decided on the basis of the average closing price for the last three working days of the week preceding the subscription period, and the price of 999 purity gold is considered. Those applying online and paying digitally get a discount of ₹50 per bond.

You can buy a minimum of 1 gm and a maximum of 4 kg of gold per annum through SGBs. The bonds, which mature in eight years, can also be used as collateral for a loan. However, they have an exit option in the fifth, sixth and seventh years on the interest payment dates.

SGBs have an advantage over other digital gold options due to their tax treatment. The interest earned from SGBs is taxed as income from other sources while TDS is not deducted. More importantly, there is